Notes: Grossman and Helpman (QJE, 2005)
A Protectionist Bias in Majoritarian Politics

Contents

1 Big Picture

1.1 Takeaway

Grossman and Helpman build a theory in which democratic majority rule can generate a systematic protectionist bias even when the average citizen would prefer free trade: the bias comes from imperfect party commitment, locally minded legislators, limited minority influence, and the convex gains to specific factors from protection.

1.2 Why this paper matters

The paper is not primarily about a special-interest lobby buying trade policy. It is about a deeper institutional channel: even without asymmetric ex ante representation and even when every citizen has an equal probability of being represented, majoritarian institutions can still tilt expected trade policy toward protection. The reason is that elected representatives care disproportionately about their own districts, while national parties cannot fully bind them to campaign promises.

The key innovation is the distinction between **policy rhetoric** and **policy reality**. Party leaders announce trade platforms before elections because they want to win legislative seats. After elections, representatives in the majority delegation choose actual policy while balancing local constituents' welfare against the political cost of deviating from the party platform.

1.3 Main empirical object? None – this is a theory paper

This is a theoretical political economy paper. There are no regression tables and no empirical data tables. The paper contains three formal figures, extracted directly below. The figures illustrate how platform announcements, expected tariffs, and realized policies change with party discipline and with the supply responsiveness parameter.

1.4 Core ingredients to track while reading

- **Districts:** three equally sized geographic districts.
- **Goods:** one numeraire good and three nonnumeraire goods.
- **Distributional conflict:** each district owns different shares of industry-specific capital.
- **Trade policy:** specific tariffs or export subsidies. Positive policy favors the sector's specific factor.
- **Political system:** majoritarian legislature with a majority delegation and a minority delegation.
- **Commitment problem:** party platforms are not fully binding after the election.
- **Party discipline:** a reduced-form penalty, governed by δ, imposed on legislators who deviate from the party platform.

1.5 Roadmap of the paper's logic

1. A stripped-down model first shows the raw source of the bias: when the majority delegation ignores minority interests, positive tariffs chosen for favored districts are larger, in expected terms, than import subsidies chosen against them.
2. The full model adds party platforms, district-level voting, and legislative policy choice.
3. In equilibrium, both parties announce the same symmetric positive platform when districts differ in capital ownership, output supply responds to price, and party discipline is imperfect.
4. Actual policy also has a positive expected tariff even though some realized industry policies may be negative in some legislative configurations.
5. The bias declines as party discipline strengthens and grows as capital ownership becomes more geographically concentrated.

1.6 How to read the model

Read the model as a commitment-and-representation theory. The welfare benchmark is free trade because the country is small and tariffs create deadweight loss. Protection emerges because the decision-making delegation does not internalize the whole country. The platform stage does not eliminate this problem because campaign promises are only partially enforceable. The resulting equilibrium has a gap between what parties say, what legislators do, and what aggregate welfare would require.

2 Paper Facts

Authors	Gene M. Grossman and Elhanan Helpman
Journal and year	*Quarterly Journal of Economics*, 2005
Title	A Protectionist Bias in Majoritarian Politics
Question	Can majoritarian democratic politics generate systematic protection even when the average citizen favors free trade?
Method	Formal political economy model with campaign platforms, district elections, and majority-legislature policy choice.
Main result	Expected trade policy is protectionist when districts differ in specific-factor ownership, industry output responds to price, and party commitment is imperfect.
Key parameters	δ: party discipline; β: demand-slope/deadweight-loss component; γ: supply responsiveness; α_j: ownership share distribution.
Formal visuals	Figure I, Figure II, and Figure III. The paper has no formal tables.

3 Research Question

The paper asks whether majority rule itself can bias trade policy toward protection. The usual political economy story says protection emerges because concentrated interests lobby more effectively than diffuse consumers. Grossman and Helpman instead ask whether protection can arise even in a setting with symmetric districts, equally weighted citizens, and national parties that want only to win office.

The answer is yes. Protection emerges because a majority delegation can redistribute income toward its own constituents through tariffs and export subsidies, while the costs are shared nationally. Since minority legislators cannot fully compensate majority legislators to select a nationally efficient policy, and because party leaders cannot fully precommit their members to free trade, policy ends up biased toward the specific factors represented by the majority.

4 Incremental Contribution

4.1 Contribution relative to standard trade-politics models

- The paper identifies a **majoritarian** source of protectionist bias, not a lobbying-source bias.
- It separates **party rhetoric** from **policy reality**. Platforms can affect later policy, but do not bind legislators perfectly.
- It treats **party discipline** as an institutional parameter that interpolates between citizen-candidate politics and full policy commitment.
- It shows that even symmetric ex ante district representation can generate protection because the ex post majority delegation overweights its own districts.

4.2 Contribution relative to comparative political institutions

The paper connects trade policy to broader comparative politics. Political institutions matter not simply because they determine which party wins, but because they determine how strongly parties can commit their members. When party discipline is weak, legislators act more parochially; when it is strong, the equilibrium approaches free trade.

4.3 Contribution relative to the literature on party discipline

The paper gives a formal role to the ability of national parties to punish deviations from announced platforms. The parameter δ is not modeled as an explicit institution, but it can represent campaign-finance control, committee assignment power, candidate-selection power, or other mechanisms that help party leaders enforce platform fidelity.

5 Economic Environment

5.1 Citizens, districts, and preferences

There are three geographically distinct districts, each with one-third of the population. Citizens consume a numeraire good y and three nonnumeraire goods $g = 1, 2, 3$. Preferences are quasi-linear:

$$U_i = c_{y,i} + \sum_{g=1}^{3} u(c_{g,i}).$$

This implies indirect utility has an income term plus consumer surplus terms:

$$V_{ij} = I_{ij} + \sum_{g=1}^{3} S(p_g),$$

where $p_g = p^* + t_g$. The country is small, so world prices p^* are fixed. Trade policy changes domestic prices but does not affect world prices.

5.2 Production and specific factors

The numeraire good is produced with labor alone. Each nonnumeraire good uses labor and an industry-specific factor called capital. The return to sector-specific capital is an increasing and convex function of the domestic price. This convexity is central: positive protection creates gains to specific-factor owners that rise more than linearly as protection increases.

The paper uses linear demand and supply schedules in the analytical model:

$$x(p_g) = x^* + \gamma(p_g - p^*), \qquad c(p_g) = c^* - \beta(p_g - p^*).$$

Here γ captures the responsiveness of sectoral output to price, while β captures the responsiveness of consumption and the marginal deadweight loss channel.

5.3 Ownership shares and symmetry

Districts differ in their ownership of industry-specific capital. Let α_{jg} denote district j's ownership share of the specific factor in industry g. The authors impose symmetry so that no district is privileged ex ante: each district owns a high share in one industry, a medium share in another, and a low share in the third.

This symmetry is important. If protection still appears, it cannot be attributed to one district being systematically overrepresented or one industry being ex ante politically dominant. The bias is generated by majority rule after electoral uncertainty is resolved.

6 The Core Argument in the Stripped-Down Model

6.1 Majority rule without platform choice

Before modeling campaigns and voting, the paper considers a simple legislature in which each district's representative belongs to either party with equal probability. If one party wins all three districts, the majority delegation represents the entire country and chooses free trade.

If one party wins only two districts, the two-district majority maximizes the joint welfare of those districts only. The minority district has no effective transfer instrument to induce national efficiency. The majority then sets tariffs or subsidies to favor the industries in which its districts own more than the national average share of capital.

6.2 Why the expected policy is protectionist

Suppose districts j and k form the majority and district l is excluded. The majority's optimal policy for industry g depends on whether the excluded district owns more or less than one-third of the capital in that industry. If the excluded district owns less than one-third, the majority owns more than the national average and chooses protection. If the excluded district owns more than one-third, the majority chooses negative protection.

The key expression in the stripped-down model is:

$$t_{\{j,k\},g} = \frac{(1/3 - \alpha_{lg})x^*}{(2/3)(\beta + \gamma) - \gamma(1/3 - \alpha_{lg})}.$$

The numerator determines whether the majority wants positive or negative protection. The denominator makes the positive policies larger, in expected value, than the negative policies because the convexity of profits changes marginal gains asymmetrically.

6.3 The intuition

Free trade is nationally efficient, but a two-district majority does not maximize national welfare. It maximizes majority welfare. A tariff transfers income toward the majority's specific-factor owners while spreading consumer losses and deadweight losses more broadly. Since the profit function is convex, the gain from raising prices for favored factors is stronger than the gain from lowering prices for disfavored factors. Averaging over possible majorities therefore yields a positive expected tariff.

7 Full Political Model

7.1 Three stages

The full model has three stages:

1. **Platforms:** parties announce trade policy vectors before the election.
2. **District elections:** voters elect one representative per district.
3. **Legislative policy:** the majority delegation chooses actual trade policy.

This timing is essential. Parties announce policies before the composition of the legislature is known. Legislators choose policy after they know whether they are in the majority.

7.2 National parties versus elected representatives

National parties care about winning a legislative majority because majority status lets them implement their ideological agenda. They choose platforms to maximize the probability of winning seats. Elected representatives, however, care about the welfare of their own constituents and about the cost of deviating from their party's platform.

This is the ex ante/ex post conflict:

- Ex ante, party leaders want a platform that appeals to pivotal voters across districts.
- Ex post, majority legislators have incentives to redistribute toward the districts they represent.

7.3 Party discipline

Party discipline is summarized by a penalty term:

$$\frac{1}{2}\delta \sum_{g=1}^{3}(t_{L,g}^{K} - \tau_{g}^{K})^2.$$

Here τ_g^K is party K's announced platform for good g, and $t_{L,g}^K$ is the actual policy chosen by a majority delegation L. A larger δ means deviations from platform promises are more costly.

The extreme cases are useful:

- $\delta = 0$: no discipline. Legislators ignore platforms and act parochially.
- $\delta \to \infty$: perfect discipline. Parties effectively commit legislators to platforms.

8 Key Equilibrium Results

8.1 Proposition 1: Protectionist rhetoric

In a symmetric equilibrium, both parties announce the same platform $\tau = (\tau, \tau, \tau)$. Proposition 1 states that the platform is free trade only if districts have identical ownership shares or if output supply does not respond to price. Otherwise, the equilibrium platform involves positive protection.

Interpretation: parties announce protection even before knowing which districts will be in the majority. This is rhetoric, not reality, but it matters because it shifts the penalty faced by future legislators.

8.2 Proposition 2: Protectionist reality

Actual policy is also protectionist in expectation. If ownership shares differ and $\gamma > 0$, then the average tariff for any legislative majority is positive, and the expected tariff for every industry is positive.

This result is stronger than saying that some industries get protection in some states. It says that averaging across electoral outcomes, the expected policy is biased toward protection in every industry.

8.3 Proposition 3: Party discipline reduces the bias

The protectionist bias declines as δ rises. When party discipline is weak, platforms can be extreme because party leaders use rhetoric to influence voters, but legislators mostly ignore the promises. When discipline becomes strong, platforms and actual policies converge to free trade.

Formally:

$$\frac{\partial \tau}{\partial \delta} < 0, \qquad \frac{\partial E[t_{L,g}]}{\partial \delta} < 0.$$

The stronger the institutional tools that national parties have to enforce platforms, the closer the economy moves to the free-trade benchmark.

8.4 Proposition 4: Geographic concentration increases the bias

The protectionist bias is strongest when industry-specific capital is geographically concentrated. If a district's ownership share of an industry increases while another district's share decreases, the equilibrium platform and expected protection rise.

Intuition: tariffs are more politically useful when they redistribute sharply across districts. If each district has identical industrial interests, tariffs create costs without political redistribution benefits. If each industry is concentrated in one district, majority delegations have powerful motives to favor the industries owned by their members.

9 Figures

9.1 Figure I: Negative Protection for Some Industries; Figure II: Positive Protection for All Industries

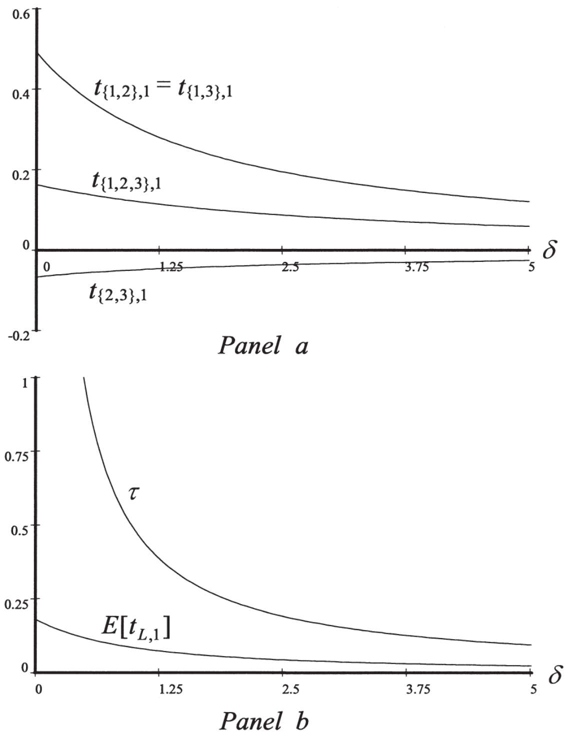

FIGURE I
Negative Protection for Some Industries

Figure I: Negative Protection for Some Industries

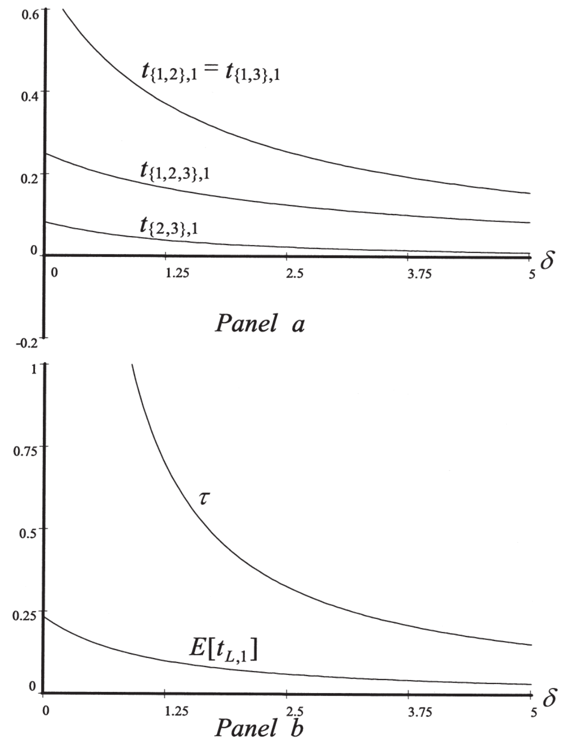

FIGURE II
Positive Protection for All Industries

Figure II: Positive Protection for All Industries

What Figure I shows. Figure I is drawn for a case in which all capital in each industry is owned by one district. Panel a shows actual tariffs under different majority delegations as party discipline δ varies. If district 1 is in the majority, industry 1 receives positive protection. If district 1 is excluded, industry 1 can receive negative protection. Panel b shows that the platform τ and expected tariff $E[t_{L,1}]$ are both positive and decline as party discipline rises.

Key lesson from Figure I. The protectionist bias can coexist with negative realized protection for some industries in some states of the world. The paper's claim is about the average and expected policy, not about every industry in every realization.

What Figure II shows. Figure II changes the supply responsiveness parameter relative to Figure I. In this parameterization, the tariff on industry 1 is positive regardless of which districts are in the majority. Panel b again shows positive platform announcements and expected tariffs that decline toward zero as δ rises.

Key lesson from Figure II. Depending on parameters, the bias can be strong enough that all realized tariffs are positive. Even when all industries receive protection in every electoral state, the mechanism remains the same: imperfect commitment plus majority redistribution.

9.2 Figure III: Platform Rises and Declines with γ

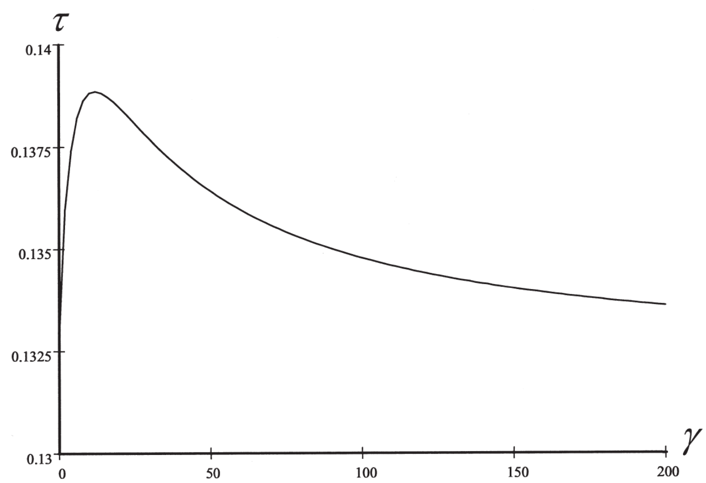

FIGURE III
Platform Rises and Declines with γ

Figure III: Platform Rises and Declines with γ

What Figure III shows. The relationship between the equilibrium platform τ and supply responsiveness γ is not monotone. A larger γ makes protection a more powerful redistributive tool because output and specific-factor rents respond more to price. But it also raises the marginal deadweight cost of moving away from free trade.

Key lesson from Figure III. The economic determinants of the bias are not one-dimensional. Stronger supply response can increase the political value of protection at first, but after a point the deadweight-loss effect dominates and the equilibrium platform declines.

10 Mechanism

10.1 Why parties announce protection

Parties announce platforms before knowing the final legislative composition. Voters understand that platforms are not fully binding, but still informative because they affect the penalty legislators face when deviating. A party can improve its electoral prospects by promising protection that appeals to district-level owners of specific factors. Since districts are symmetric, both parties make the same announcement in equilibrium.

This symmetry is important. The result is not that one party is protectionist and the other is liberal. The equilibrium is that both parties have incentives to choose protectionist rhetoric.

10.2 Why legislators implement protection

After elections, the majority delegation chooses actual policy. A legislator from district j values the welfare of district j's residents. If districts j and k form the majority, they overweight the industries in which those districts own high capital shares. They also consider the party-discipline penalty, but unless δ is infinite, they retain some incentive to deviate toward locally beneficial policies.

10.3 Why minority legislators cannot fix the inefficiency

If minority legislators could make full compensating transfers to the majority, the legislature could bargain to free trade and split the surplus. The paper assumes such cross-party compensation is limited or unavailable. This is realistic in political settings where minority delegations have few instruments to buy policy concessions from the majority.

10.4 Why full commitment would eliminate the bias

If parties could perfectly commit candidates to platforms, both parties would choose free trade because they would be trying to appeal to the average voter and maximize expected welfare. The bias exists because platforms influence but do not perfectly constrain ex post policy.

11 Comparative Statics

11.1 Party discipline δ

The most important comparative static is straightforward: stronger party discipline lowers both rhetoric and reality of protection. As $\delta \to \infty$, announced and realized tariffs converge to zero.

The intuition is that party discipline solves the commitment problem. If legislators must follow the national platform, the national party can promise the nationally efficient policy. If legislators can ignore the platform, national parties must anticipate parochial behavior.

11.2 Ownership dispersion α

The protectionist bias increases as ownership becomes more unequal across districts. The sharper the difference between majority-owned and minority-owned specific factors, the greater the political return to redistribution through tariffs.

This result explains why geographic concentration of industries matters. If an industry is heavily concentrated in a few districts, then the representatives from those districts have stronger incentives to support protection for that industry.

11.3 Demand slope β

A higher β increases the marginal deadweight loss from protection. The paper's numerical examples indicate that larger β tends to reduce the platform and realized protection. In the limit, as the deadweight cost becomes very large, the protectionist bias vanishes.

11.4 Supply responsiveness γ

A higher γ has two opposing effects. It makes protection more redistributive because output and rents respond more to price, but it also raises marginal deadweight costs. Figure III illustrates that the platform can rise at low values of γ and then decline at higher values.

12 What the Paper Teaches About Trade Policy

12.1 Protection can be institutional, not merely corrupt

The model shows that trade protection need not arise only from lobbying, campaign contributions, or corruption. It can arise from the basic structure of democratic representation when decisions are made by a majority delegation with limited concern for the minority.

12.2 Free trade is politically fragile under weak commitment

Even if free trade is the national welfare optimum, it may not be politically stable when representatives act locally after the election. The gap between national platforms and local incentives is the heart of the problem.

12.3 Party institutions matter

The same underlying economy can generate different trade-policy outcomes depending on the strength of party discipline. Strong national parties that can enforce platforms reduce protectionist bias. Weak discipline leaves more room for constituency-driven policy.

12.4 Majoritarian systems can favor specific factors

Protection favors quasi-fixed factors of production. In the model, tariffs and export subsidies raise returns to industry-specific capital. Since ownership is geographically uneven, trade policy becomes a tool for district-level redistribution.

13 Connections to Other Literature

13.1 Median-voter models

This paper differs from simple median-voter models because the relevant decision-maker after elections is the majority delegation, not a single national median voter. The delegation internalizes the interests of represented districts more than those of excluded districts.

13.2 Lobbying models

In Grossman-Helpman-style lobbying models, protection arises because organized interests exert influence. Here, protection arises even without lobbying contributions. The political distortion comes from representation and commitment failure.

13.3 Citizen-candidate models

When $\delta = 0$, the model resembles citizen-candidate politics: elected officials choose policies according to their own constituents' interests. When δ becomes very large, the model resembles a Downsian commitment model.

13.4 Comparative institutions

The model provides a way to think about why countries with different party systems may choose different trade policies. If a parliamentary party can discipline its members more strongly than a fragmented majoritarian system, it should be closer to free trade in this framework.

14 Potential Limitations

14.1 Reduced-form party discipline

The paper treats δ as exogenous. It does not model exactly how parties punish deviations or why legislators accept those punishments. A deeper model could endogenize party discipline through campaign finance, committee assignments, nomination control, or repeated interactions.

14.2 Three-district symmetry

The three-district setup is useful for clean intuition, but real legislatures have many districts and complex coalitions. The authors' mechanism should generalize, but the exact formulas depend on the simplified structure.

14.3 No lobbying

The paper deliberately abstracts from lobbying. That strengthens the conceptual result, but real trade policy also reflects organized interests. A natural extension would combine majoritarian bias with lobbying to see whether the two mechanisms reinforce each other.

14.4 No explicit empirical test

The paper is theoretical. It explains a mechanism and comparative statics, but it does not directly estimate whether countries with weaker party discipline have more protectionist trade policy.

15 Final Summary

Grossman and Helpman provide a clean political-economy explanation for protectionism based on majoritarian representation. The model has no need for lobbying or ex ante political asymmetry. The protectionist bias arises because policy is chosen ex post by a majority delegation that internalizes district interests imperfectly and cannot be fully committed by national parties. The results are strongest when party discipline is weak, industry-specific capital is geographically concentrated, and output supply responds to price. The central lesson is that trade policy can be biased toward protection because of how democratic institutions translate district-level interests into national policy.